



KONEX Market Listing Regulation

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CHAPTER I. GENERAL PROVISIONS

§1. Purpose

The purpose of this Regulation is to, in accordance with Article 390 of the Financial Investment Services and Capital Market Act (hereinafter referred to as "the Act"), stipulate the matters necessary for the Korea Exchange (hereinafter referred to as "the Exchange") to review the securities to be listed and administer the securities listed on the KONEX Market.

§2. Definitions

(1) The term "KONEX-listed corporation" in this Regulation shall mean a corporation that has issued the securities listed on the KONEX Market.

(2) The term "listed issues" in this Regulation shall mean stocks, etc. issued by the KONEX-listed companies, which have been listed in accordance with this Regulation.

(3) The term "initial listing" in this Regulation shall mean the listing on the KONEX Market of the stocks which have not been listed on the KONEX Market.

(4) The term "KONEX-listing applicant" in this Regulation shall mean a corporation preparing for initial listing in the KONEX Market.

(5) The term "venture capital" in this Regulation shall mean a person coming under any of Article 2-2(1)2a of the Special Act on the Promotion of Venture Businesses.

(6) The term "the largest shareholder, etc." in this Regulation shall mean the largest shareholder pursuant to Article 2(6)a of the Act on Corporate Governance of Financial Companies. In this case, "financial company" shall be deemed "corporation" and "shares issued (including capital contribution; the same hereinafter)" shall be deemed ""shares issued." Provided that, in cases where a venture capital is the largest shareholder, a person who becomes the largest shareholder after excluding the shares owned by the concerned venture capital shall also be deemed the largest shareholder if the person participates in the management; and the stock owned for the investment purpose by those professional investors specified in the Enforcement Rules, among professional investor prescribed in Article 9(5) of the Act (hereinafter referred to as "the professional investor"), shall be excluded from the number of shares held at the time of determining the largest shareholder. (Amended on December 14, 2016)

(7) The term "affiliated persons" in this Regulation shall mean persons falling under any of subparagraphs under Article 3(1) of the Enforcement Decree of the Act on Corporate Governance of Financial Companies. In this case, officers shall include executive officers pursuant to [§408-2] of the Commercial Act. (Amended on December 14, 2016)

(8) [Deleted on November 13, 2013]

(9) [Deleted on November 13, 2013]

(10) The term "equity capital" in this Regulation shall mean the amount determined by the following formula:

Equity capital = Total asset as of the end of latest fiscal year - Total liabilities as of the end of latest fiscal year +/- Increase or decrease of capital stock and capital surplus since the end of the latest fiscal year

(11) The term "common stock" in this Regulation shall refer to, of the stocks issued, the stocks excluding class shares of stocks pursuant to Article 344 of the Commercial Act (hereinafter referred to as "the class shares of stocks").

(12) The term "technology credit bureau (TCB)" in this Regulation shall mean the entity that obtained the license to operate credit information business pursuant to Article 4 of the Credit Information Use and Protection Act and reported the business of generation and provision of technology credit information stated in Article 2(1)5m of the Enforcement Decree of the Credit Information Use and Protection Act as concurrent business to the Financial Services Commission pursuant to Article 11 of the same Act. [June 10, 2015] (Amended on December 14, 2016)

(13) The term "technology appraisal agency" in this Regulation shall mean a person who meets all following requirements and is separately determined by the Exchange in consideration of professional technology appraisal capacity, etc.: [December 14, 2016]

1. Shall be a government-affiliated research organization or professional appraisal agency; and
2. Shall have ten (10) or more professional appraisal personnel (including external personnel) such as doctoral degree holders or professional engineers.

(14) The term "technology evaluation corporation" in this Regulation shall mean corporations, which are small and medium enterprises (hereinafter referred to as "the small and medium enterprises (SMEs)") under Article 2 of the Framework Act on Small and Medium Enterprises, which has received a technology evaluation grade set forth in the Enforcement Rules or higher from a TCB or technology appraisal agency. [June 10, 2015] (Amended on December 14, 2016)

(15) The term "designated institutional investor" in this Regulation shall mean a person who is designated by the Exchange in consideration of professional valuation capabilities and investment performance of SMEs securities among those who fall under any of the followings: [June 10, 2015] (Amended on March 8, 2021)

1. Financial institutions falling under Articles 10(2)1 through 17 of the Enforcement Decree of the Financial Investment Services and Capital Market (hereinafter referred to as

“the Enforcement Decree of the Act”);

2. Persons falling under Articles 10(3)1 through 4 and 9 through 14 of the Enforcement Decree of the Act;

3. Small and medium business startup investment company prescribed in Article 2/10 of the Act on Facilitating Venture Investment (hereinafter referred to as “the small and medium business startup investment company); and

4. Other person equivalent to subparagraph 1 through 3.

(16) The term “stocks, etc.” in this Regulation shall mean the securities noted in Article 139(1)a through e of the Enforcement Decree of the Act: [June 10, 2015]

(17) The term “depository” in this Regulation shall mean the Korea Securities Depository established under Article 294 of the Act. [June 10, 2015]

(18) The term "crowdfunding corporation" in this Regulation shall mean a corporation that issued securities by the method of online small investment brokerage (excluding brokerage related to private placement; hereinafter referred to as “the online small investment brokerage”) pursuant to the part other than each subparagraph of Article 9(27) of the Act. [December 14, 2016] (Amended on April 17, 2019)

(19) The term "electronic registration" in this Regulation shall mean entering information on the creation, modification or lapse of rights related to securities in the electronic registration account book according to an electronic method, pursuant to the Act on Electronic Registration of Stocks, Bonds, Etc. [August 28, 2019]

(20) The term "mandatory holding" in this Regulation shall mean electronically registering stocks, etc. owned by persons subject to obligatory lock-up for a certain period of time with the KSD, so that the transfer between accounts, the establishment and deletion of a right of pledge, sale, etc. (hereinafter referred to as “the disposal, etc.”) are restricted. [August 28, 2019]

(21) Unless otherwise defined in this Regulation, the terms used in this Regulation shall have the same meanings given to them in the Act, the Enforcement Decree of the Act, the Enforcement Rule of the Act, other relevant Acts and Decrees, and other Regulations established by the Exchange.

§3. Application Standards

(1) The audit report applicable to this Regulation shall refer to the audit report [including the audit report on the consolidated financial statement, in the case of a corporation (hereinafter referred to as “the corporation subject to the preparation of consolidated financial statement”) owning a subsidiary stated in Article 3(1) of the Enforcement Decree of Act on External

Audit of Corporations] which the auditor, stated in Article 2(7) of the Act on External Audit of Corporations (limited to accounting firms designated pursuant to Article 11 of the Same Act or appointed pursuant to Article 12 of the same Act; hereinafter referred to as “the auditor”), prepared subsequent to auditing of the financial statement (referring to the financial statement stated in Article 2/2 of the same Act; the same hereinafter) or the consolidated financial statement (referring to the consolidated financial statement stated in Article 2/3 of the same Act: the same hereinafter) prepared in accordance with the accounting standards stated in Article 5(1) of the Act on External Audit of Corporations. In such cases, in cases where the concerned auditor including the accountant in charge has interests in the corporation-to-be-listed by holding the stocks or equity-related bonds, or acquiring stock options of the corporation concerned, etc., the audit report prepared by the auditor concerned shall be excluded. (Amended on April 17, 2019)

(2) Unless otherwise specified in this Regulation, the financial details applicable to this Regulation shall be based on the financial statements in which the auditor’s opinion is unqualified or qualified due to an uncertainty over the company’s ability to continue as a going concern. Provided that, in cases where the auditor’s opinion is qualified due to a violation of accounting standards, the adjusted financial details that reflect the concerned violation shall be applicable. (Amended on April 27, 2022)

(3) [Deleted on August 28, 2019]

CHAPTER II. DESIGNATED ADVISOR

§3-2. Scope of Application

This chapter shall not apply to corporations falling under any of the followings:

1. A technology evaluation corporation that intends to list its stocks on the KONEX Market pursuant to [§13-2(1)] of this Regulation;
2. A crowdfunding corporation that intends to list its stocks on the KONEX Market pursuant to [§13-2(3)] of this Regulation; and
3. A corporation assigned to the Startups Division (hereinafter referred to as “the Startups Division”) stated in [§26-2/2] of this Regulation
4. A corporation assigned to the Crowdfunding Corporation Division (hereinafter referred to as “the Crowdfunding Corporation Division”) stated in [§26-2/3] of this Regulation

[December 14, 2016]

§4. Appointment of Designated Advisor, etc.

(1) A KONEX-listing applicant and a KONEX-listed corporation shall appoint a person (hereinafter referred to as “the designated advisor”) who performs the following tasks: (Amended on June 14, 2017; April 27, 2022)

1. Due diligence and listing eligibility review of a corporation to be listed in the KONEX Market;
2. Recommendation and advice on initial listing procedures for a KONEX-listing applicant, and handling of affairs related to initial listing;
3. Regular and continuous advice for a KONEX listed corporation on compliance with financial laws;
4. Disclosure and reporting on behalf of a KONEX-listed corporation;
5. Fulfillment of obligation to submit liquidity provision quotations pursuant to [§18] of the KONEX Market Business Regulation for the stocks of a KONEX-listed corporation;
6. Preparation and posting of reports (hereinafter referred to as “the corporate status report”) analyzing the current status of business and financial situation and their forecasts of a KONEX-listed corporation;
7. Recommendation and support for holding IR events for KONEX-listed corporations;
8. Record and storage of task-related contents as a designated advisor; and
9. Other duties that the Exchange deems necessary in performing the tasks of a designated advisor.

(2) Notwithstanding paragraph (1), in case of falling under any of following subparagraphs, the designated advisor may not conduct the task stated in the subparagraph concerned. Provided that this shall not apply to cases that are specified in the Enforcement Rules. [June 14, 2017] (Amended on April 27, 2022)

1. Cases that do not fall under the proviso to the part other than each subparagraph of [§23(1)] of the KONEX Market Disclosure Regulation and where the disclosure officer of the KONEX-listed corporation discloses and reports: The task stated in paragraph (1)4; and
2. Where a designated advisor does not submit liquidity provision quotations pursuant to the proviso to [§17(1)] of the KONEX Market Business Regulation: The task stated in paragraph (1)5.

(3) Where a KONEX-listing applicant and a KONEX-listed corporation enter an appointment

contract for the designated advisor with a designated advisor pursuant to paragraph (1), they shall determine the rights and obligations necessary between the relevant corporation and the designated advisor in order to comply with this Regulation. In such cases, the matters prescribed by the Enforcement Rules shall be included.

(4) The validity of the appointment contract for designated advisors stated in paragraph (3) shall continue as long as the listing of the corporation concerned continues, and if the designated advisor changes or the contents of the appointment contract change, it shall be reported in writing to the Exchange without delay. (Amended on June 14, 2017)

(5) A KONEX-listing applicant and a KONEX-listed corporation shall conduct the notification, submission of documents, reporting and disclosure, etc. (hereinafter referred to as "the disclosure, etc." in this Article) to the Exchange pursuant to this Regulation through a person who is appointed as the designated advisor (hereinafter referred to as "the designated advisor in charge"), and notifications by the Exchange to a KONEX-listing applicant and a KONEX-listed corporation may also be replaced by notification to the designated advisor in charge. Provided that, in cases where the designated advisor does not perform the task of disclosure and reporting pursuant to paragraph (2)1, the KONEX-listed corporation shall perform the disclosure, etc. (Amended on June 14, 2017)

(6) Other necessary matters concerning the appointment, etc. of the designated advisor may be prescribed by the Enforcement Rules.

§5. [Deleted on June 10, 2015]

§6. Requirements of Designated Advisor

(1) The designated advisors shall meet all the following requirements: (Amended on June 10, 2015; December 14, 2016)

1. Must be an investment dealing company authorized in 1-1-1 among authorized business units in Annex 1 of the Enforcement Decree of the Act; and
2. Must be a member in accordance with [§3] of the Membership Regulation of the Exchange

(2) [Deleted on June 10, 2015]

(3) [Deleted on June 10, 2015]

§7. Measures against Designated Advisor

(Amended on June 18, 2014; June 10, 2015)

(1) [Deleted on June 10, 2015]

(2) [Deleted on June 10, 2015]

(3) In the case of any of the following cases, the Exchange may take measures to suspend the qualification of the designated advisor to the designated advisor concerned after deliberation by the KONEX Market Listing & Disclosure Committee (hereinafter referred to as “the Committee”) stated in [§36] (referring to measures that prevent the conclusion of a new contract under [§4(3)] with a KONEX-listing applicant and a KONEX-listed corporation). In such case, other necessary matters such as deliberation by the Committee and the period of suspension of qualification as a designated advisor shall be prescribed in the Enforcement Rules. (Amended on June 10, 2015; June 14, 2017; April 17, 2019; August 25, 2021)

1. Where a KOSDAQ-listed corporation recommended by a designated advisor pursuant to [§31(1)] of the KOSDAQ Market Listing Regulation is designated as an administrative issue pursuant to [§53(1)] of the KOSDAQ Market Listing Regulation or delisted (limited to cases stipulated in the Enforcement Rules) pursuant to [§54(1)] and [§56(1)] of the KOSDAQ Market Listing Regulation within two (2) years from the date of listing;

2. Where a corporation (hereinafter referred to as “the corporation in charge of”) with which a designated advisor entered an appointment contract is delisted (limited to cases stipulated in the Enforcement Rules) pursuant to [§28] due to a cause occurring within one (1) year from the date of listing; or

3. Where the corporate status report is not submitted within the deadline.

§7-2. Appeal against Measures to Designated Advisor

(1) When the Exchange decides to take measures stated in [§7(3)], it shall make a notice including the following matters in writing to the designated advisors concerned: (Amended on June 10, 2015)

1. The reasons and grounds for action;

2. The purport that an objection can be raised against the measures; and

3. Other matters that the Exchange deems necessary in relation to measures and official objections.

(2) Where a designated advisor has an objection to the measures taken by the Exchange, it may file an objection to the Exchange with seven (7) days from the date of receipt of the notification.

(3) The Exchange shall make a final decision on the measures after deliberation by the Committee within fifteen (15) days upon receiving an official objection pursuant to paragraph

(2).

(4) In addition to the provisions of paragraphs (1) through (3), necessary matters regarding objections and deliberation by the Committee shall be stipulated in the Enforcement Rules.

[June 18, 2014]

§8. Duties of Designated Advisor

(1) Designated advisors shall fulfill their duty of care as a good manager in conducting the tasks of designated advisors.

(2) Designated advisors shall maintain independence from stakeholders including the corporation in charge. (Amended on June 10, 2015)

(3) Designated advisors shall have no conflicts of interest from stakeholders including the corporation in charge and establish a system to prevent conflicts of interest.

(4) Designated advisors must be fair and appropriate in contracting with the corporation in charge of and performing their duties as designated advisors

(5) Designated advisors shall maintain the confidentiality of information acquired while conducting the tasks of designated advisors.

(6) Designated advisors shall report to the Exchange without delay if the resolution, decision, or occurrence of a matter that has a significant impact on the investment judgment of investors or the maintenance of market soundness is predicted or recognized from the corporation in charge.

(7) The Exchange may determine necessary matters in relation to the performance of tasks of designated advisors under paragraphs (1) through (6) in the Enforcement Rules.

§9. Reporting Obligations of Designated Advisor

Where there is a resolution, decision or occurrence of a matter falling under any of the following subparagraphs, the designated advisor shall report the details of the resolution, decision, or fact to the Exchange without delay: (Amended on June 10, 2015)

1. When a note or check issued by the corporation is defaulted or transactions with a bank are suspended or prohibited;

2. When an application for commencement of rehabilitation procedures is filed, when a decision is made to commence rehabilitation procedures, or when a decision is made to abolish the commencement of rehabilitation procedures;

3. When an application for bankruptcy is filed
4. When a cause for dissolution occurs
5. When an action such as revocation of authorization for investment dealing business or suspension of business has been received;
6. When a lawsuit that will significantly affect the performance of business is filed;
7. When there is a change in the working unit or employee in charge of tasks of designated advisory;
8. When a designated advisor or the person in charge of tasks of the designated advisor has been taken an action in violation of financial laws and regulations; or
9. When there is other resolution, decision or occurrence of a matter prescribed in the Enforcement Rules, which affects the performance of tasks of a designated advisor.

§10. [Deleted on June 10, 2015]

§11. [Deleted on June 10, 2015]

CHAPTER III. LISTING

§12. Application for Initial Listing

(1) The corporation intending to initially list its stocks on the KONEX Market shall undergo the examination by the Exchange by submitting to the Exchange the application for initial listing fifteen (15) days before the desired date of listing. In this case, if it is deemed necessary for the investor protection and reliability of KONEX Market, the Exchange may discuss the listing procedures, etc. with the KONEX-listing applicant before the application for initial listing.

(2) When a corporation intending to apply for initial listing of stocks pursuant to paragraph (1) submits the application for initial listing, it shall file with the Exchange two (2) respective copies of application for initial listing (hereinafter referred to as “the initial listing application”) stipulated in the Enforcement Rules and report for listing eligibility (hereinafter referred to as “the listing eligibility report”) prepared by the designated advisor in charge together with documents noted in each of the following subparagraphs. Provided that, if there is a correction or change in the initial listing application and listing eligibility report due to

initial public offering, secondary offering or private placement, etc., the details of the initial listing application and listing eligibility report shall be corrected or changed and submitted to the Exchange by the date of completion of initial public offering, secondary offering or private placement (referring to the payment date for stocks): (Amended on June 18, 2014; October 1, 2014; June 10, 2015; April 17, 2019)

1. Two (2) respective copies of the financial statements (referring to the statement of financial position, income statement or comprehensive income statement, cash flow statement, statement of capital change and supplementary schedules thereof, and including the consolidated financial statement in the case of the corporation subject to the preparation of consolidated financial statement; the same hereinafter) and auditor's audit report (including the audit report on the consolidated financial statement in the case of the corporation subject to the preparation of consolidated financial statement; the same hereinafter). However, in case where the accounts of the latest fiscal year have not been settled, the documents specified in each of the following subparagraphs shall be submitted first, and then the financial statements and auditor's audit report for the latest fiscal year shall be submitted after the accounts are settled:

a. Two (2) respective copies of the financial statements and auditor's audit report (limited to the case of unqualified opinion) for the fiscal year immediately before the latest fiscal year; and

b. Two (2) respective copies of the semiannual financial statements (referring to the semiannual statement of financial position, semiannual income statement or comprehensive semiannual income statement and supplementary schedules thereof and consolidated semiannual financial statement in the case of the corporation subject to the preparation of consolidated semiannual financial statement; the same hereinafter) and auditor's review report (limited to the case of unqualified opinion, and including the auditor's review report on consolidated semiannual financial statement in the case of the corporation subject to the preparation of consolidated semiannual financial statement) for the latest fiscal year.

2. Notwithstanding paragraph 1, a corporation that has not been audited by auditor on the financial statements for the latest fiscal year (limited to corporations prescribed by the Enforcement Rules) may submit each of the following documents:

a. Two (2) respective copies of the semiannual financial statement for the current fiscal year and audit report thereon prepared by auditor (limited to accounting firms registered with the Financial Services Commission (FSC) pursuant to Article 9-2 of the Act of External Audit of Stock Companies); and

b. Two (2) respective copies of the financial statement for the latest fiscal year and audit report thereon prepared by auditor who prepared the audit report stated in subparagraph a.

3. [Deleted on April 17, 2019]

4. Two (2) copies of the register of shareholders as of the end of the latest fiscal year (as of the time of closing the register of shareholders if the register has been closed after the end of the latest fiscal year).

5. In addition to those mentioned in subparagraphs 1 through 4, documents specified in the Enforcement Rules.

(3) The KONEX-listing applicant shall not apply for partial listing of already-issued stocks. Provided that, in the case of stocks other than common stocks, the applicant may not apply for listing by issue.

§13. Requirements for Initial Listing

(1) A corporation (limited to small and medium enterprises; the same hereinafter in this Article) intending to list its stocks on the KONEX Market shall meet the requirements noted in each of the following subparagraphs: (Amended on November 13, 2013; June 18, 2014; June 10, 2015; December 14, 2016; April 17, 2019)

1. [Deleted on June 10, 2015]

2. Audit opinions of auditor

Auditor's audit opinions (including the audit opinion on the consolidated financial statement in the case of corporation subject to the preparation of consolidated financial statement) on the financial statements (in cases of falling under [§12(2)2], the semiannual financial statements for the current fiscal year are included) of the latest fiscal years shall be unqualified.

3. [Deleted on June 18, 2014]

4. Restrictions on transfer of shares

There shall be no restriction on transfer of shares. However, this provision shall not apply to the cases where the restrictions are imposed by laws or Articles of Incorporation, but it is deemed that such restrictions do not impede the trading in the KONEX Market.

5. Par value

In the case of a par-value stock, the par value per share shall be the amount stipulated in the Enforcement Rules.

6. [Deleted on November 13, 2013]

7. [Deleted on November 13, 2013]

8. Public interest and investor protection

It shall be recognized that the listing of stocks of concerned corporation does not lead to an improper cause from the viewpoint of public interest and investor protection. In such case, the Exchange shall review based on the listing eligibility report submitted by the designated advisor in charge.

9. Designated advisor

An appointment contract with one (1) designated advisor shall be concluded.

(2) [Deleted on June 18, 2014]

(3) [Deleted on June 10, 2015]

§13-2. Special Cases for Initial Listing

(1) Notwithstanding [§13], a technology evaluation corporation that meets each of the following requirements and intends to initially list its stocks on the KONEX Market shall undergo the examination by the Exchange by submitting to the Exchange the application for initial listing forty-five (45) days before the desired date of listing. In this case, if it is deemed necessary for the investor protection and reliability of KONEX Market, the Exchange may discuss the listing procedures, etc. with the technology evaluation corporation before the application for initial listing: (Amended on June 14, 2017)

1. Requirements stipulated in [§13(1) 2, 4 and 5];

2. There shall be an agreement for the listing by a designated institutional investor who owns 10/100 or more of the total number of stocks, etc. issued by the corporation concerned or who has invested KRW 3 billion or more in stocks, etc. issued by the corporation concerned, alone or in total with other designated institutional investors, six (6) months before the date of application for initial listing; and

3. It shall be recognized that the listing of stocks of the corporation concerned does not lead to an improper cause from the viewpoint of public interest and investor protection.

(2) When a technology evaluation corporation intends to apply for initial listing pursuant to paragraph 1, it shall submit to the Exchange two (2) respective copies of the initial listing application, the application for KONEX Market initial listing examination stipulated in the Enforcement Rules (hereinafter referred to as “the application for initial listing examination”) and the listing agreement by designated institutional investors (hereinafter referred to as “the listing agreement”) and together with documents specified in each of the following subparagraphs. In such case, when a designated institutional investor agrees to listing pursuant paragraph (1)2 by adding up the stocks, etc. owned by other designated institutional

investors in preparing a listing agreement, a representative may be selected and the listing agreement may be drawn up under joint names: (Amended on June 14, 2017; August 28, 2019)

1. Documents stated in each subparagraph of [§12(2)];
2. Two (2) copies of documents stating the technology evaluation rating of the corporation concerned issued by TCB or technology appraisal agency within six (6) months from the date of application for initial listing;
3. Two (2) copies of written confirmation on mandatory holding of stocks, etc. of designated institutional investors (including the bonus issues stipulated in the Enforcement Rules; the same hereinafter in subparagraph 4 below and [§26(8)]);
4. Two (2) copies of documents, issued by the depository, stipulated in the Enforcement Rules in relation with the mandatory holding of stocks, etc. of designated institutional investors; and
5. Documents specified in the Enforcement Rules other than those in subparagraphs 1 through 4.

(3) Notwithstanding [§13], a crowdfunding corporation that meets each of the following requirements and intends to initially list its stocks on the KONEX Market shall undergo the examination by the Exchange by submitting to the Exchange the application for initial listing fifteen (15) days before the desired date of listing. In this case, if it is deemed necessary for the investor protection and reliability of KONEX Market, the Exchange may discuss the listing procedures, etc. with the Crowdfunding Corporation before the application for initial listing: [December 14, 2016] (Amended on June 14, 2017)

1. Requirements stipulated in [§13(1) 2, 4 and 5];
2. Crowdfunding amount

Amount (hereinafter referred to as “the crowdfunding amount”) of stocks [referring to common stocks (including class stocks converted into common stocks before the application for initial listing); the same hereinafter in this paragraph] issued by the method of online small investment brokerage shall be KRW 300 million or more. Provided that, if, as of the date of application for initial listing, a crowdfunding corporation has been registered with the KRX Startup Market (hereinafter referred to as “the KSM”), operated by the Exchange pursuant to [§2/14-5)] of the Articles of Incorporation, for six (6) months or more and has met requirements stipulated in the Enforcement Rules in relation with the OTC trading of stocks of crowdfunding corporations the amount shall be KRW 150 million or more.

3. Number of investors participating in crowdfunding

The number of investors who have invested in stocks through online small investment brokerage as of the date of application for initial listing shall be fifty (50) or more. Provided that, the number shall be twenty (20) or more in the case of a crowdfunding corporation registered with the KSM. In such case, matters necessary for calculating the number of investors shall be prescribed in the Enforcement Rules.

4. Public interest and investor protection

It shall be recognized that the listing of stocks of concerned corporation does not lead to an improper cause from the viewpoint of public interest and investor protection.

(4) When a crowdfunding corporation intends to apply for initial listing pursuant to paragraph (3), it shall submit to the Exchange two (2) respective copies of the initial listing application and the application for initial listing examination with documents specified in each of the following subparagraphs: [December 14, 2016]

1. Documents stated in each subparagraph of [§12(2)];
2. Documents confirming the amount of crowdfunding and the number of investors participating in the crowdfunding issued by the central records management institution pursuant to Article 117-13(1) of the Act; and
3. Documents specified in the Enforcement Rules other than those in subparagraphs 1 and 2

(5) Notwithstanding paragraph (3)2, if a crowdfunding corporation receives a recommendation for listing on the KONEX Market from a recommendation institution prescribed in the Enforcement Rules (hereafter referred to as “the recommendation institution” in this paragraph), the crowdfunding amount shall be KRW 100 million or more, and if a KSM-registered crowdfunding corporation is recommended for listing on the KONEX Market by a recommendation institution, the crowdfunding amount shall be KRW 75 million or more. [December 14, 2016]

(6) In examining the requirements under paragraph (1)3, the Exchange may reflect technological prowess, disclosure capability, and management transparency. In this case, it shall be as stipulated in Appendix. (Amended on April 17, 2019)

(7) The Exchange may reflect the advisory results of the expert group in evaluating the technological prowess under paragraph (6). In this case, necessary matters related to the composition and operation of the expert group shall be separately determined by the Exchange. (Amended December 14, 2016)

(8) [§12(3)] shall apply *mutatis mutandis* to an application for listing of stocks already issued by a technology evaluation corporation or crowdfunding corporation that intends to list stocks on the KONEX market. . (Amended December 14, 2016)

(9) The proviso to [§12(2)] shall apply *mutatis mutandis* to initial listing applications, request for initial listing examination, and listing agreements.

[June 10, 2015]

§13-3. Appointment of Listing Agent

(1) A technology evaluation corporation or a crowdfunding corporation that intends to list its stock on the KONEX market pursuant to [§13(2)] may appoint a listing agent acting for or representing itself in all actions between the corporation concerned and the Exchange under this Regulation.

(2) A listing agent stated in paragraph (1) shall be a person who falls under any of the followings. Provided that, in the case of a technology evaluation corporation, it is limited to the person falling under subparagraph 1:

1. Investment dealing company who have obtained 1-1-1 authorization among authorized business units in Appendix 1 of the Enforcement Decree of the Act; and
2. Online small investment brokerage company pursuant to the part other than each subparagraph of Article 9(27) of the Act.

(3) The notification of the Exchange pursuant to this regulation may be replaced with the notification to the listing agent stated in paragraph (1).

[December 14, 2016]

§14. Reports by Corporations Applying for Initial Listing

A corporation applying for initial listing shall report to the Exchange when any of the following subparagraphs occurs from the date of application for initial listing to the date of listing: (Amended on June 10, 2015; April. 17, 2019)

1. Resolution of the board of directors or general meetings of shareholders on matters related to securities;
2. Significant business facts (default of bills or checks issued, merger, etc., filing of lawsuits, suspension of business activities, changes in major assets, etc.);
3. Investment prospectus (including preliminary prospectus) when filed a registration statement of an initial public offering or a secondary offering. In such case, the correction of any details stated in the prospectus shall be included;
4. In the case of private placement, documents similar to those stated in subparagraph 3

and delivered to the investor who participated in the private placement (including the contract for acquisition of securities). In such case, the correction of any details stated in the documents similar to prospectus shall be included;

5. [Deleted on April 17, 2019]

6. Financial statements of the latest fiscal year and the auditor's audit report thereof, if a general meeting of shareholders for approval of the settlement of accounts for the latest fiscal year (the board of directors in cases where the financial statements are approved by a resolution of the board of directors pursuant to Article 449-2(1) of the Commercial Act) is held.

§15. Approval of Initial Listing, etc.

(1) The Exchange shall finalize the result of the listing application after examining the application for initial listing of a corporation applying for initial listing on the KONEX Market. However, in the case of a technology evaluation corporation that has applied for initial listing pursuant to [§13-2(1)], the result of the listing application is finalized after the examination, and the deliberation by the Committee. (Amended on June 10, 2015; December 14, 2016)

(2) The results of the listing application pursuant to paragraph (1) shall be notified in writing to the FSC, the corporation concerned and its designated advisor (excluding technology evaluation corporation and crowdfunding corporation; the same hereinafter in this paragraph, [§16(1)] and [§18(4)]) within the desired date of listing stated in the application of initial listing by the corporation applying for KONEX Market listing. Provided that, if there are corrections or supplements in the initial listing application documents (referring to documents prescribed in the Enforcement Rules; the same hereinafter in [§16(1)2], or if there are other reasons prescribed in the Enforcement Rules, the notification of the result may be postponed. In such case, the Exchange shall make notice to the corporation concerned and designated advisor in charge, specifying the reason and expected processing period. (Amended June 10, 2016; December 14, 2016)

(3) In conducting an examination under paragraph (1), the Exchange shall reject the concerned application for initial listing if it is confirmed that, according to the result of an inspection under [§23] of the Regulations on External Audit and Accounting, Etc. set by the FSC (hereinafter referred to as "the Regulations on External Audit and Accounting, Etc.") on documents under [§12(1)1 or 2], a corporation applying for initial listing violated the accounting standards and accordingly the Securities and Futures Commission decided to take any of the following measures; (Amended on April 17, 2019)

1. Measures taken by the Securities and Futures Commission under [§26(1)3] of the Regulations on External Audit and Accounting, etc.;

2. Measures taken by the Securities and Futures Commission under [§26(7)] of the Regulations on External Audit and Accounting, etc.; or

3. Measures of imposing fine by the FSC or the Securities and Futures Commission

§16. Cancellation of Results of Initial Listing Examination

(1) If the Exchange recognizes that the corporation concerned falls under any of the following subparagraphs after notification of examination results under [§15(2)] and such fact has a significant impact on the relevant listing examination results, the result of listing examination may be cancelled. In such case, the Exchange shall disclose this fact and notify the FSC, the corporation concerned and the designated advisor in charge, and the corporation concerned may request a re-examination: (Amended on June 10, 2019; April 17, 2019)

1. In the event of occurring a significant business fact as stipulated in [§14(2)];

2. When it was discovered that there is a false statement or indication in the contents of the application for initial listing, or that material matters are not stated or indicated;

3. When it was confirmed that the FSC or the Securities and Futures Commission decided to impose a fine on the corporation applying for listing or made a resolution on measures falling under [§26(1)3] or [§26(7)] of the Regulations on External Audit and Accounting, Etc., according to the result of an inspection under [§23] of the Regulations on External Audit and Accounting, Etc. on the documents under [§12(1)1 or 2]; or

4. Other cases recognized by the Exchange as having a significant impact on the results of the initial listing examination.

(2) When requesting re-examination pursuant to the latter part of paragraph (1), the corporation concerned shall submit documents stipulated in each subparagraph of [§12(2)] and [§13-2(2) and (4)]. However, submission may be omitted if there is no change in the documents and contents that have already been submitted. (Amended on June 10, 2019; December 14, 2016)

(3) When it was confirmed that the Securities and Futures Commission made a resolution on measures falling under [§26(1)1, 2, or 4] of the Regulations on External Audit and Accounting, Etc. to the corporation applying for initial listing, according to the result of an inspection under [§23] of the Regulations on External Audit and Accounting, Etc. on the documents under [§12(1)1 or 2], the Exchange may cancel the result of listing examination for the corporation concerned by conducting re-examination based on the initial listing requirements under [§13(1)8]. (Amended on April 17, 2019)

§17. Appeal against Results of Initial Listing Examination

(1) If there is an objection to the result of the initial listing examination pursuant to [§15], the corporation applying for initial listing may file an objection to the Exchange. (Amended on June 10, 2015>

(2) If there is an objection pursuant to paragraph (1), the Exchange shall manage it in accordance with the procedure stipulated in the Enforcement Rules.

§18. Restriction on Applying for Initial Listing

(1) Where a corporation whose initial listing application has been rejected pursuant to [§15(3)] or whose initial listing examination result has been canceled pursuant to [§16] falls under any of the followings as a case for correcting the violation of Article 5(3) of the Act on External Audit of Stock Companies, Etc., it shall not apply for initial listing under [§12(1)] and [§13-2(1) and (3)] within three (3) years from the date of rejection or cancellation: (Amended on June 10, 2015; December 14, 2016; April 17, 2019)

1. [Deleted on June 10, 2015]

2. In case where the reason for rejection of the new listing application or the cancellation of the initial listing examination result corresponds to [§15(3)2].

(2) If a corporation that has withdrawn its application for initial listing receives measures under [§15(3)2], it shall not apply for initial listing under [§12(1)] and [§13-2(1) and (3)] within three (3) years from the date of withdrawal. (Amended on June 10, 2015; December 14, 2016)

(3) In cases falling under [§16(1)2], an initial listing application under [§12(1)] and [§13-2(1) and (3)] may not be filed for one (1) year from the date on which the cancellation is decided. (Amended on June 10, 2015; December 14, 2016)

(4) When the Exchange restricts the application for initial listing pursuant to paragraphs (1) through (3), it shall notify the designated advisor in charge and the corporation concerned applying for initial listing of the reason and the period of restriction.

CHAPTER IV. ADMINISTRATION OF LISTED CORPORATION

Section 1. Listing Change and Supplementary Listing

[June 10, 2015]

§19. Listing Change and Supplementary Listing

(1) In case where there has been a change in the class, par-value stock into no-par value stock and vice versa, par value, name or quantity of the listed issue, a KONEX-listed corporation shall submit to the Exchange the application for listing change (supplementary listing) and the documents attached thereto, which are specified in the Enforcement Rules, within one (1) month from the occurrence date of the concerned cause.

(2) The provisions of [§12(3)] shall be applied *mutatis mutandis* to the case of applying paragraph (1).

(3) In case where the stocks for which the application for listing change (supplementary listing) has been filed fall under any of the following subparagraphs, the listing may be postponed until the concerned cause are resolved:

1. In case where a lawsuit concerning such matters as the validity of issuance of new issues has been filed. Provided that, the cases stipulated in the Enforcement Rules, including the case where there is insignificant risk of undermining the safety of transactions, shall be excluded;

2. In case where the calculation date of dividend periods of stocks is not the same for each class of stocks; and

3. In other cases where the Exchange deems it necessary to suspend the listing of the concerned stocks for investor protection and reliability of the KONEX Market

(4) In case where there is an objection to the postponement of listing pursuant to paragraph (3)1, the applicant for listing change or supplementary listing may file an appeal with the Exchange.

(5) Matters necessary for the procedures and methods of filing an appeal pursuant to paragraph (4) shall be stipulated in the Enforcement Rules.

§20. Shelf-listing

(1) A KONEX-listed corporation that has issued the subscription right certificates, bond with warrants or convertible bonds or granted stock options may apply for shelf-listing of total number of stocks to be issued subsequent to the exercise of subscription rights, conversion rights or stock options by the day before the day the exercise is possible. In this case, the concerned corporation shall submit the application for shelf-listing stipulated in the Enforcement Rules.

(2) In case where the KONEX-listed corporation that submitted the application for shelf-listing pursuant to paragraph (1) intends to apply for listing of stocks issued subsequent to the exercise of subscription rights, conversion rights or stock options, the corporation shall

submit the written notice for issuance of new stocks and supplementary document as stipulated in the Enforcement Rules.

§21. Notification of Listing, etc.

When the listing has been approved or there has been a listing change or supplementary listing, the Exchange shall record the details of concerned listing in the original listing register, notify the KONEX-listed corporation concerned, designated advisor in charge (excluding corporations in the Startups Division and those in the Crowdfunding Corporation Division: the same hereinafter in [§29]) and KSD of the listing details and disclose such details on the disclosure media without delay. Provided that, in case of listing change and supplementary listing, the Exchange may not notify the concerned listing details to the concerned KONEX-listed corporation and listing sponsor. (Amended on June 10, 2015; December 14, 2016)

Section 2. Obligations of Listed Corporations

[June 10, 2015]

§22. Obligation of Organizing Investor Relations Sessions

KONEX-listed corporations shall hold an investor relations session at least once every half year from the date of listing. Provided that, if the period from the listing date to the end of the half year to which the listing date belongs is less than 2 months, it shall be applied from the next half year.

§22-2. Obligation to Report

When a KONEX-listed corporation decides to hold a general meeting of shareholders on the day when a considerable number of general meetings of shareholders of other KONEX-listed corporations are held, a notice of convocation pursuant to Article 363 of the Commercial Act (including the notice of convocation pursuant to Article 542-4 of the Commercial Act), it shall report the reason to the Exchange.

[January 31, 2018]

§23. [Deleted on November 13, 2013]

§24. Attendance in the General Shareholders' Meeting

In case of falling under any of the following subparagraphs, the KONEX-listed corporation shall allow the attendance of the officers and/or employees of the Exchange in the general

meeting of shareholders:

1. Case where it is necessary to verify the facts such as significant business facts specified in [§14/2];
2. Case where a speedy verification of outcome of general meeting of shareholders is necessary because the agenda of meeting is related to delisting, etc.;
3. Case where it is deemed difficult to appoint officers in accordance with the manners stipulated in the laws and regulations due to management rights disputes, etc.; and
4. Other cases where the Exchange deems necessary for listing management and investor protection.

§25. Corporate Status Report and Disclosure

- (1) A designated advisor shall prepare a corporate status report for the corporation in charge of and submit it to the Exchange. (Amended June 10, 2015)
- (2) The details of the corporate status report under paragraph (1), the submission period, and other necessary matters shall be determined in the Enforcement Rules.
- (3) The designated advisor shall disclose the corporate status report (including the listing eligibility report), etc. through the electronic disclosure medium of the Exchange and its Internet website.
- (4) Notwithstanding the provisions of paragraphs (1) through (3), a corporation in the Startups Division or the Crowdfunding Corporation Division shall prepare the corporate status report, etc. and submit to the Exchange and shall disclose the corporate status report (including the initial listing review request), etc. through the electronic disclosure medium of the Exchange. In such case, the details of the corporate status report of the corporation concerned, the submission period, and other necessary matters shall be determined in the Enforcement Rules. [June 10, 2015] (Amended on December 14, 2016)

§26. Disclosure of Non-submission of Documents

In cases where a KONEX-listed corporation has failed to comply with the submission requirements pursuant to this Regulation, the Exchange may disclose such fact.

Section 3. Assignment and Change of Corporation Division

[June 10, 2015]

§26-2. Assignment of Corporation Division

By considering whether a KONEX-listed corporation appointed a designated advisor, whether it possesses technological prowess, and whether or not securities are solicited through the online small investment brokerage, the Exchange may assign a corporation division by classifying the corporations into the divisions noted in each of the following subparagraphs: (Amended on December 14, 2016)

1. Ordinary Corporation Division: A corporation listed on the KONEX Market that has appointed the designated advisor;
2. Startups Division: A corporation listed on the KONEX Market that has not appointed the designated advisor, as a technology evaluation corporation that has listed stocks on the KONEX Market pursuant to [§13-2(1)]; and
3. Crowdfunding Corporation Division: A corporation listed on the KONEX Market that has not appointed the designated advisor, as a crowdfunding corporation that has listed stocks on the KONEX Market pursuant to [§13-2(3)]

[June 10, 2015]

§26-3. Change of Corporation Division

(1) When corporations in the Startups Division and those of the Crowdfunding Corporation Division enter a contract for appointment of a designated advisor pursuant to [§4(3)] (hereinafter referred to as “the appointment contract for designated advisor”), they shall apply for the change of corporation division. (Amended on December 14, 2016; June 14, 2017)

(2) If there is an application for change of the corporation division pursuant to paragraph (1), the Exchange shall change the corporation division after checking the facts related to the application.

(3) In addition to paragraphs (1) and (2), matters necessary to change the corporation division, etc. shall be stipulated in the Enforcement Rules.

[June 10, 2015]

Section 4. Designated Institutional Investors

[June 10, 2015]

§26-4. Application for Designation of Designated Institutional Investor

(1) A person who intends to become a designated institutional investor shall apply for

designation as a designated institutional investor and undergo a review by the Exchange.

(2) When applying for the designation pursuant to paragraph (1), the application for designation of a designated institutional investor (hereinafter referred to as “the application for designation of a designated institutional investor”) and attached documents as stipulated in the Enforcement Rules shall be submitted to the Exchange

[June 10, 2015]

§26-5. Requirements of Designated Institutional Investor

A person who intends to become a designated institutional investor shall meet the following requirements. Provided that, subparagraph 4 does not apply where the period specified in the Enforcement Rules has elapsed from the date on which the designated institutional investor qualification was revoked (hereinafter referred to as “the designated institutional investor qualification revocation”) pursuant to [§26-7]): (Amended on June 14, 2017)

1. Investment performance

As of the end of the latest fiscal year, the amount invested in securities of SMEs must be more than KRW 15 billion. In such cases, the amount invested in securities of SMEs by the collective investment vehicles stated in Article 9(18) of the Act (including those established and incorporated under any of the subparagraphs of Article 6(1) of the Enforcement Decree of the Act) shall be added.

2. Professional personnel

There must be at least two (2) professional workforce prescribed in the Enforcement Rules.

3. Violation of laws

There must be no fact of receiving a measure of warning or heavier one due to violation of financial laws and regulations within the past year.

4. Revocation of qualification of designated institutional investor

There must be no fact that the Exchange has taken measures to revoke the qualification of a designated institutional investor.

5. Public interest and investor protection

It shall be recognized that there are no grounds for inappropriateness as a designated institutional investor for the public interest and investor protection.

[June 10, 2015]

§26-6. Designation of Designated Institutional Investor, etc.

(1) The Exchange shall review the application for the designation of a designated institutional investor and finalize the result and notify the applicant of the result in writing.

(2) If there is an objection to the review result for the application for designation of a designated institutional investor under paragraph (1), the applicant for designation of the designated institutional investor may file an objection to the Exchange. In this case, the Exchange shall manage it in accordance with the procedure stipulated in the Enforcement Rules.

[June 10, 2015]

§26-7. Review and Measures for Maintaining Qualifications of Designated Institutional Investors

(Amended on June 14, 2017)

(1) Designated institutional investors shall maintain the qualifications under [§26-5], and the Exchange shall review whether to maintain the qualifications of designated institutional investors (excluding those designated as designated institutional investors in the year in which the relevant examination date belongs) by April every year. (Amended on June 14, 2017)

(2) If it is recognized that a designated institutional investor fails to maintain the qualification as a result of the review under paragraph (1), the Exchange may revoke the qualification of the designated institutional investor after deliberation by the Committee. [June 14, 2017]

(3) Notwithstanding paragraph (2), if a KONEX-listed corporation to which a designated institutional investor has agreed to be listed pursuant to [§13-2(1)] falls under any of the following subparagraphs, the Exchange may revoke the qualification of the designated institution investor after deliberation by the Committee.

1. In case the appointment contract as a designated advisor is not concluded even after one (1) year has elapsed from the date of listing; or

2. In case of delisting pursuant to [§28(1) and (2)] (limited to cases prescribed in the Enforcement Rules) due to a cause occurred within one (1) year from the date of listing.

(4) Designated institutional investors may file an objection to the Exchange if they have an objection to the measures taken by the Exchange under paragraphs (2) and (3). (Amended on June 14, 2017)

(5) Examination of qualifications, measures, appeals for objections, and other necessary matters under paragraphs (1) through (4) shall be determined in the Enforcement Rules. (Amended on June 14, 2017)

[June 10, 2015]

§26-8. Mandatory holding by Designated Institutional Investors after Listing

(Amended on August 28, 2019)

(1) A designated institutional investor who has agreed to the listing of a technology evaluation corporation pursuant to [§13-2(1)2] (hereinafter referred to as “the designated institutional investors subject to mandatory holding”) shall not dispose of the corporation's stocks, etc. that it owns, except in cases falling under any of the following subparagraphs, which the Exchange deems unavoidable. Provided that, this shall not apply if the relevant technology evaluation corporation appoints a designated advisor: (Amended on June 14, 2017; August 28, 2019)

1. In the case of fulfillment of obligations under laws and regulations;
2. In the case of a merger or acquisition of a corporation to improve the competitiveness or governance of a KONEX-listed corporation. Provided that, a person who has acquired or received stocks, etc. shall fulfill the same obligations during the remaining period (the same shall apply in subparagraph 3 below);
3. In the case where a designated institutional investor sells its stocks, etc. to another designated institutional investor outside the Exchange market (including sales through after-hours block trading pursuant to [§26-2] of the KONEX Market Business Regulation.

(2) The lockup period of a designated institutional investor subject to mandatory holding stated in paragraph (1) shall be six (6) months from the date of listing, and if six (6) months have elapsed, the designated institutional investor may dispose of its holding equivalent to 10/100 of the stocks, etc. it owns as of the listing date every month. (Amended on April 17, 2019; August 28, 2019)

(3) The following matters shall be stated in the confirmation of mandatory holding of stocks, etc. stated in [§13-2(2)3]: (Amended on August 28, 2019)

1. A statement that the stocks, etc. owned by the designated institutional investor subject to mandatory holding will be held for the mandatory holding period, and that the stocks, etc. will not be disposed of except where the Exchange deems it necessary;
2. In the case of mandatory holding or disposal of stocks, etc. owned by a designated institutional investor subject to mandatory holding during the mandatory holding period, details on the method of disclosure, and in the case when mandatory holding is

impossible due to the provision of collateral, details on the handling method, etc.; and

3. A statement that no objection will be raised against the disclosure by the Exchange on the disposition, etc. of the stocks, etc. owned by a designated institutional investor subject to mandatory holding during the mandatory holding period.

[June 10, 2015]

Section 5. Suspension and Resumption of Trading (Amended on April 27, 2022)

§26-9. [Deleted on April 27, 2022]

§27. Suspension and Resumption of Trading

(1) The Exchange may suspend trading of stocks of a KONEX-listed corporation if the corporation concerned falls under any of the following subparagraphs: (Amended on April 27, 2022)

1. In the case of falling under any of the subparagraphs (subparagraph 1 shall refer to the case of not submitting an annual report within the statutory submission deadline and subparagraph 9 shall refer to the case of terminating an appointment contract of a designated advisor) of [§28(1)];

2. In cases falling under any of the subparagraphs of [§28(2)]; or

3. In other cases where the Exchange deems necessary for investor protection.

(2) A KONEX-listed corporation shall report to the Exchange without delay when a cause for suspension or resumption of trading occurs.

(3) The Exchange may request a KONEX-listed corporation to confirm the fact in connection with the suspension or resumption of the trading, and the corporation concerned shall not refuse it unless there is a justifiable reason.

(4) Matters necessary for the suspension and resumption of trading pursuant to paragraph (1) shall be prescribed by the Enforcement Rules.

CHAPTER V. DELISTING

§28. Delisting

(1) The Exchange shall, when a KONEX-listed corporation falls under any of the following subparagraphs, delist such corporation: (Amended on November 13, 2013; June 10, 2015; December 14, 2016; December 20, 2017; January 31, 2018; April 17, 2019; April 27, 2022)

1. In cases where an annual report was not submitted within ten (10) days from the day after the legal submission deadline;

2. [Deleted on January 31, 2018]

3. [Deleted on November 13, 2013]

4. [Deleted on November 13, 2013]

5. In cases where a note or check issued by the corporation has been finally dishonored by the primary bank or the correspondent bank has suspended the transaction;

6. In cases where a KONEX-listed corporation came under the criteria for dissolution pursuant to the laws, including the case of having been merged into another corporation or having been declared as bankrupt;

6-2. In cases where a KONEX-listed corporation becomes a wholly owned subsidiary of another corporation as a result of an all-inclusive stock swap, etc.;

7. In cases where the auditor's audit opinion on the financial statements (including the audit opinion on the consolidated financial statement, in case where the corporation is subject to preparation of consolidated financial statement) of the latest fiscal year has been an adverse, disclaimer of opinion, or qualified opinion due to the limitation placed on scope of audit. However, only in the event that the reason for such auditor's audit opinions is the uncertainty about the corporation ability to survive as going concern, when the Exchange accepts the confirmation letter of the same auditor stating the elimination of the concerned uncertainty, which was submitted within ten (10) days from the day after the legal submission deadline of annual report, the cases of coming under any of the following subparagraphs:

a. In cases where the auditor's audit opinion on the financial statements of the following fiscal year has been an adverse, disclaimer of opinion, or qualified due to the limitation of the scope of audit; and

b. In cases where the audit report for the following fiscal year is not submitted within ten (10) days from the day after the legal submission deadline of the annual report.

7-2. In case where, as of the end of the latest fiscal year (excluding the fiscal year in which initial listing date belongs), the total number of common stocks issued minus the number of stocks falling under any of the following subparagraphs is less than 5/100 of the total number of common stocks (hereinafter referred to as "the failure of meeting stock distribution requirements"):

a. Common stocks owned by the largest shareholder (referring to the largest shareholder under the main sentence of [§2(6)] and affiliated persons; and

b. Other common stocks prescribed in the Enforcement Rules as those that are difficult to be considered dispersed.

8. In case where there are restrictions on transfers of shares. However, this is not the case where the restrictions are imposed by laws or Articles of Incorporation, but it is deemed that such restrictions do not impede the trading;

9. In case where the appointment contract for designated advisor is not concluded within thirty (30) days from the day following the date of termination of the appointment contract for designated advisor with the designated advisor in charge;

10. In case where IRs session pursuant to [§22] (limited to the case where the holding of the IRs session is confirmed pursuant to [§22(4)] of the KONEX Market Disclosure Regulation) has not been held for two (2) consecutive quarters or has not been held at least four (4) times within 3 years. Provided that, in case where an event falling under each subparagraph of [§28(1)] (excluding subparagraph 10) or each subparagraph of [§28(2)] occurs, this provision shall not apply until such event is resolved;

11. In case where an application for delisting is made to list in the KOSPI Market (referring to the “KOSPI market” established by the Exchange under Article 386 of the Act) or the KOSDAQ Market (referring to the “KOSDAQ market” established by the Exchange under Article 386 of the Act)

12. In case where a corporation in the Startups Division fails to enter an appointment contract for designated advisor even after one (1) year has elapsed from the date of listing;

13. In case where a corporation in the Crowdfunding Corporation Division fails to enter an appointment contract for designated advisor even after one (1) year has elapsed from the date of listing; or

14. In case where the equity capital (based on the consolidated financial statements for corporations subject to the preparation of consolidated financial statements but excluding the amount of non-controlling interests) as of the end of the latest fiscal year is zero (0) or negative. Provided that this provision shall not apply up to ten (10) consecutive fiscal years including the year to which the date of initial listing belongs.

(2) When a KONEX-listed corporation falls under any of the following subparagraphs, the Exchange shall delist the corporation concerned through the deliberation of the Committee: (Amended on June 18, 2014; April 17, 2019; April 27, 2022)

1. In case where the demerit points due to unfaithful disclosure pursuant to [§15] of the

KONEX Market Disclosure Regulation has accumulated to be fifteen (15) points or more in the last one (1) year;

2. In case where an application for the commencement of rehabilitation procedure (including an application for commencement of simplified rehabilitation procedures) pursuant to the Debtor Rehabilitation and Bankruptcy Act is filed;
3. In case where it is deemed that the matters falsely recorded or omitted in the applications, reports and attached documents related to the listing are important for the investor protection;
4. In case where, as a case falling under any of the following subparagraphs, it is recognized that the consideration of such facts as the going concerns, management transparency and other factors about the soundness of KONEX Market indicates that the delisting is necessary:
 - a. Case of confirming allegations of embezzlement and breach of trust in an amount specified in the Enforcement Rules through the disclosures, etc.
 - b. Case of confirming such facts that the material violation noted in Article 5(3) of the Act on External Audit has occurred;
 - c. Case where the main business has been suspended; or
 - d. Case where the Exchange deems it necessary to delist for investor protection for reasons equivalent to paragraphs (1) and (2).

(3) The detailed standards for each subparagraph of paragraph (2)⁴ shall be determined by the Enforcement Rules.

(4) Matters necessary for the application method of delisting, detailed procedures, etc. pursuant to paragraphs (1) and (2) shall be stipulated in the Enforcement Rules. (Amended on June 14, 2017)

§29. Listing Maintenance Review

(Amended on April 17, 2019)

(1) The Exchange shall decide whether it is subject to the listing maintenance review within fifteen (15) days from the date of confirming any of the facts noted in [§28(2)]. Provided that, in view of the additional time required for further investigation that may be necessary to determine if the listing maintenance review is necessary, the concerned period may be extended up to additional fifteen (15) days. (Amended on April 17, 2019)

(2) When a decision that a corporation is subject to the listing maintenance review has been made pursuant to paragraph (1), the Exchange shall notify the concerned corporation and the

designated advisor in charge of the schedule and main procedures for the listing maintenance review without delay. (Amended on April 17, 2019)

(3) When it is deemed necessary with respect to the review on whether a corporation falls under the criteria for delisting, the Exchange may request the concerned corporation and the designated advisor in charge for submission of relevant materials and opinion statements, and an on-site investigation, etc.

(4) When having made a decision on whether to delist, the Exchange shall notify the concerned KONEX-listed corporation and the designated advisor in charge of such fact without delay.

(5) Matters necessary for the review criteria and detailed review methods and procedures under paragraph (3) shall be separately determined by the Exchange.

§30. Appeal against Delisting and Granting of Grace Period for Improvement, etc.

(1) When delisting a stock pursuant to [§28(1) and (2)] (excluding the cases stipulated in the Enforcement Rules), the Exchange shall notify the relevant corporation of the matters noted in each of the following subparagraphs in writing:

1. The reasons and grounds of the delisting;
2. The explanation that an official objection to the delisting may be filed; and
3. Other matters that the Exchange deems necessary in relation to delisting and official objection.

(2) In cases where a KONEX-listed corporation that was notified pursuant to paragraph (1) has an objection to the concerned delisting, it may file an official objection with the Exchange within fifteen (15) days from the date of notification. (Amended on March 8, 2021)

(3) Upon receiving an official objection pursuant to paragraph (2), the Exchange shall make a final decision on whether to delist, or whether to grant a grace period for improvement through the deliberation the Committee.

(4) When the improvement period pursuant to paragraph (3) has expired, the Exchange shall make a final decision on whether to delist through the deliberation of the Committee on whether the improvement plan was implemented.

(5) Notwithstanding paragraph (4), When the KONEX-listed corporations fall under any of the following subparagraphs, the Exchange may make final decision on whether to delist through the deliberation of the Committee even before the improvement period expires. (Amended on April 17, 2019)

1. Case where the improvement plan was not implemented;
2. Case where the corporation's survival as a going concern is deemed difficult as it does not own the assets necessary for business operation or its business operation has de facto been suspended; and
3. Case where the concerned KONEX-listed corporation has applied for delisting.

(6) Notwithstanding paragraphs (3) through (5), in the case stipulated in the Enforcement Rules that the deliberation of the Committee is not necessary in consideration of the reasons for the official objection and the details of the improvement plan, the deliberation of the Committee may not take place. [March 8, 2021]

(7) In addition to paragraphs (1) through (6), the matters necessary for the official objections to delisting, and deliberation of the Committee, etc. shall be stipulated in the Enforcement Rules. (Amended on March 8, 2021)

§31. Application for Delisting

(1) A KONEX-listed corporation shall, when intending to delist the corporation concerned, submit to the Exchange the application for delisting and attached documents stipulated in the Enforcement Rules.

(2) A KONEX-listed corporation shall, when intending to delist class shares issued by the corporation concerned, file with the Exchange the application for delisting and attached documents stipulated in the Enforcement Rules.

(3) Upon receiving the application for delisting noted in paragraphs (1) and (2), the Exchange shall delist the corporation concerned and the class shares issued by the corporation concerned. Provided that, when the corporation concerned does not fall under the delisting criteria prescribed in [§28], the Exchange may turn down such application after the deliberation of the Committee in accordance with the stipulation of Enforcement Rules, while considering whether the requirements for investor protection are complied with.

§32. Processing of Delisting, etc.

The Exchange shall, when a KONEX-listed corporation has been delisted pursuant to [§28], process the matter by applying *mutatis mutandis* the provisions of [§21].

§33. Permission to Trade Stocks to Be Delisted

The Exchange may permit the trading of stocks to be delisted pursuant to [§28 or §31(1) or (3)] for up to seven (7) trading days (based on trading days of the concerned stock).

(Amended on December 14, 2016; April 27, 2022)

CHAPTER VI. SUPPLEMENTARY PROVISIONS

§34. Calculation of Period

The calculation of the period related to this regulation shall be in accordance with the method prescribed by the Enforcement Rules.

§35. No Return of Listing Application and Attached Documents

The documents submitted in accordance with this Regulation shall not be returned to the applicant even if the listing has been rejected or the listing application has been withdrawn.

§36. KONEX Market Listing and Disclosure Committee

(1) In order to deliberate necessary matters in relation to the listing examination of technology evaluation corporations, delisting of KONEX-listed corporations, and measures against designated advisors and designated institutional investors in accordance with this regulation, the Exchange may establish the KONEX Market Listing and Disclosure Committee. (Amended on June 10, 2015)

(2) Matters necessary for the composition and operation of the KONEX Market Listing and Disclosure Committee stated in Paragraph (1) shall be separately determined by the Exchange.

§37. Listing Fees and Annual Dues

(1) A corporation intending to list the stocks or KONEX-listed corporations shall pay the listing fees and the KONEX-listed corporations shall pay the annual dues as long as their stocks are listed. Provided, that if the Exchange deems it necessary, the listing fees and annual dues may be exempted.

(2) With regard to the listing fees and annual dues stated in paragraph (1), the fee rate, methods of fee calculation and payment, scope of exemption and other necessary matters shall be stipulated in the Enforcement Rules.

§37-2. Public Opinion Gathering

In the case of amending this regulation (including the Enforcement Rules), public opinion of interested parties shall be gathered pursuant to the Enforcement Rules.

[April 29, 2020]

§38. Enforcement Rules

Matters necessary for the implementation of this regulation shall be determined by the Enforcement Rules.

ADDENDA
(September 11, 2013)

§1. Effective Date

This Regulation shall become effective on September 17, 2013.

§2. Applicable Case for Application for Initial Listing

The enacted provisions of [§12 through 18] shall also be applied to corporations applied for initial listing before this Regulation enters into force.

§3. Interim Measures Concerning Listing on KONEX Market, Etc.

At the time of enforcement of this Regulation, the previous act, which is related to a KONEX-listed corporation, conducted pursuant to the KOSDAQ Market Listing Regulation shall be deemed to have been made in accordance with this Regulation.

§4. Special Cases Concerning Corporations Not Subject to External Audit

When a corporation that does not meet the criteria of Article 2 of the External Audit Act in FY 2011 applies for initial listing on the KONEX Market, the audit report of the accounting firm that has audited only the financial statements of the corporation concerned for FY2012 shall be replaced as the auditor's audit report.

§5. Amendments of Other Regulations

Some of the KOSDAQ Market Listing Regulation shall be amended as follows:

In [§2(2)], “pursuant to Article 9(13)1 of the Act” shall be replaced with “established by the Exchange pursuant to Article 386 of the Act”;

In [§2(3)], “[pursuant to §4(1)1-2] of the Business Regulations” shall be replaced with “established by the Exchange pursuant Article 386 of the Act”;

In the parts other than each subparagraph of [§17(4)], “a listed corporation (excluding a corporation listed on the KONEX Market)” shall be changed to “a listed corporation”;

In [§47], “[§44-3], [§45(1) and (3)] or [§47-21(1) and (2)]” is changed to “[§44-3] or [§45(1) and (3)]”; and

Chapter V-II ([§47-2 through 47-30]) shall be deleted.

ADDENDUM
(November 13, 2013)

This Regulation shall become effective on November 14, 2013.

ADDENDA
(June 18, 2014)

§1. Effective Date

This Regulation shall become effective on June 30, 2014.

§2. Applicable Case

The amended provision of [§13] shall be applied from the first corporation that submits an application for initial listing after effective date of this Regulation.

ADDENDUM
(October 1, 2014)

This Regulation shall become effective on October 6, 2014.

ADDENDUM
(June 10, 2015)

This Regulation shall become effective on June 12, 2015. Provided that, the amended provisions of [§2(12) through (15)], [§3-2], [§13-2], [§15 through 18], [§21], [§25(4)], [§26-2 through 26-8], [§28(1)12], and [§36(1)] shall be effective from the date stipulated in the Enforcement Rules in consideration of the period required for computer system development, etc.

ADDENDUM
(December 14, 2016)

This Regulation shall become effective on January 1, 2017. Provided that, the amended provisions of [§2(18)], [§3-2], [§13-2(3) through (5) and (8)], [§13-3 (limited to those matters on the listing agent for a crowdfunding corporation)], [§15], [§16], [§18], [§21], [§25], [§26(2)], [§26(3)], and [§28(1)13] shall be effective from the date stipulated in the Enforcement Rules in consideration of the period required for computer system development, etc.

ADDENDUM
(June 14, 2017)

This Regulation shall become effective on June 26, 2017.

ADDENDUM
(December 20, 2017)

This Regulation shall become effective on January 1, 2018.

ADDENDUM
(January 31, 2018)

This Regulation shall become effective on February 1, 2018.

ADDENDA
(April 17, 2019)

§1. Effective Date

This Regulation shall become effective on April 22, 2019.

§2. Applicable Case Concerning Auditor of Corporation That Listed Stocks

The auditor stated in [§12(2)2a] shall be applied as an auditor under [§3(1)] before the amended provisions of Article 9-2 of the Act on External Audit of Stock Companies, No. 15022, enter into force.

§3. Applicable Case Concerning Failure of Meeting Stock Distribution Requirements

In applying the amended provisions of [§28(1)7-2], corporations listed in the KONEX Market as of the enforcement date of this Regulation shall be deemed newly listed on the enforcement date of this Regulation.

§4. Special Cases Concerning the Exemption Period from Appointment of Designated Advisor for Special Listing Corporation

The amended provisions of [§28(1)12 and 13] shall be applied from the first corporation that submits an application for initial listing after effective date of this Regulation.

ADDENDUM
(August 28, 2019)

This Regulation shall become effective on September 16, 2019.

ADDENDUM
(April 29, 2020)

This Regulation shall become effective on May 8, 2020.

ADDENDA
(March 8, 2021)

§1. Effective Date

This Regulation shall become effective on March 9, 2021.

§2. Applicable Case Concerning Procedures on Appeal against Delisting

The amended provision of [§3(2)] shall be applied from the first corporation that receives the notification pursuant to [§30(1)] after effective date of this Regulation.

ADDENDA
(KOSDAQ Market Listing Regulation / August 25, 2021)

§1. Effective Date

This Regulation shall become effective from the date specified in the Enforcement Rules.

§2. through §9. [Omitted]

§10. Amendment of Other Regulation

(1) through (3) [Omitted]

(4) A part of the KONEX Market Listing Regulation is amended as follows.

Of [§7(3)1], “[§7(9)] of the KOSDAQ Market Listing Regulation” shall be “[§31(1)] of the KOSDAQ Market Listing Regulation”, “[§28(1)] of the KOSDAQ Market Listing Regulation” shall be [§53(1)] of the KOSDAQ Market Listing Regulation”, and [§38(1) and (2)] of the KOSDAQ Market Listing Regulation” shall be “[§54(1)] and [§56(1)] of the KOSDAQ Market Listing Regulation”.

Of [§26-9(2)], “any of the subparagraphs of [§7(9)3] of the KOSDAQ Market Listing Regulation” shall be “any of the subparagraphs of [§31(1)3] of the Listing Regulation”.

Of [§26-9(3)], “any of the subparagraphs of [§7(9)3] of the KOSDAQ Market Listing Regulation” shall be “any of the subparagraphs of [§31(1)3] of the Listing Regulation”.

ADDENDA
(April 27, 2022)

§1. Effective Date

This Regulation shall become effective on May 2, 2022. Provided that, the amended provisions of [§4(1)3] and [§4(2)1] shall be effective from May 30, 2022.

§2. Applicable Case Concerning Delisting

The amended provision of the proviso to [§28(1)10] shall apply to KONEX-listed corporations that have not resolved the cause under each subparagraph of [§28(1)] (excluding subparagraph 10) or each subparagraph of [§28(2)] of the previous Regulation after the effective date of this Regulation.

[Annex] Qualitative Listing Examination Criteria

Qualitative Listing Examination Criteria

Marketability	Market size and growth potential
	Market competition
Technological prowess	Completeness of technology
	Technological competitiveness
	Technical competence of employees
	Competitiveness in commercialization of technology
Management capability	Qualities of management
	Competitiveness of workforce and organization
	Transparency in management
Disclosure capability	Personnel and organization for disclosure